FREE FINANCING REPORT

Laundromat Financing Report

Why This Category Remains a Genuinely Accessible Small Business Asset, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com

PAGE 1

Why Laundromat Financing Is a Genuinely Accessible Small Business Category

Laundromats occupy a distinct niche in commercial real estate — a special-purpose, equipment-intensive business where cash flow depends on machine utilization rather than long-term leases. 2026 data shows this remains one of the more genuinely financeable small business categories, supported by deep SBA lending capacity, flexible equipment financing, and attractive underlying profit margins.

- **Multiple financing pathways exist for owner-operators.** SBA 7(a) loans are available up to $5 million, with terms up to 10 years for working capital or business acquisition and up to 25 years when commercial real estate is included.
- **Equipment financing is broadly available and fast.** Up to 100% financing is available on new equipment (up to 80% on used), with rates of 6% to 18% depending on credit and equipment type, and funding in as little as 2 to 7 business days.
- **Profit margins are attractive relative to many small businesses.** Laundromats typically run 20% to 35% profit margins, supporting healthy debt service coverage for well-run operations.
- **Established locations can supply strong historical cash flow.** Average per-store revenue runs $150,000 to $300,000 annually, with top performers in major metro areas reaching $500,000 to $1,000,000-plus.
- **Long equipment lifespan supports the financing decision.** Commercial washers and dryers typically last 15 to 20 years with proper maintenance, meaning financed equipment continues generating revenue well beyond a typical loan term.

That said, this remains a specialized underwriting discipline. Rent and utility costs together can consume 35% to 55% of gross revenue, industry-wide growth has averaged a modest 1.5% to 2% annually over the past decade, and lenders scrutinize equipment condition, utility expense ratios, and operator experience closely — well-documented, cash-flowing laundromats with modern equipment continue to finance far more easily than aging facilities with unclear replacement needs.

PAGE 2

2026 Market Outlook for Laundromat Financing

Laundromat financing enters 2026 as an active, small-business-friendly lending environment anchored by SBA programs and dedicated equipment financing. The following figures outline where the market stands:

- SBA financing remains the primary channel for real estate and business acquisition: SBA 7(a) loans are available up to $5 million at rates of roughly 6.5% to 10% APR, with terms up to 10 years for working capital or business acquisition and up to 25 years when real estate is included.

  Source: Crestmont Capital, Laundry Business Loans, 2026

- Equipment financing terms remain attractive and fast: equipment loans price at 6% to 18% depending on credit and equipment type, with up to 100% financing available on new equipment (up to 80% on used) and repayment terms of 24 to 84 months, funding in as little as 2 to 7 business days.

  Source: Crestmont Capital, 2026

- The market remains large and fragmented: the US laundromat industry generates approximately $5 billion in annual revenue across more than 35,000 locations, with average per-store revenue of $150,000 to $300,000 and top performers in major metros reaching $500,000 to $1,000,000-plus.

  Source: Laundromaps, Laundromat Industry Statistics, 2026

- Profitability supports debt service for well-run operations: laundromats typically run 20% to 35% profit margins, with most owners recouping their investment within 3 to 5 years.

  Source: Laundromaps, 2026

- Expense structure is dominated by two lines lenders scrutinize closely: rent represents 20% to 30% of revenue while water, gas, and electric utility costs account for another 15% to 25%, together consuming 35% to 55% of gross revenue before other operating costs.

  Source: Laundromaps, 2026

- Industry growth remains modest but stable: the sector has grown approximately 1.5% to 2% annually over the past decade, with card and mobile payment adoption now reaching 40% to 50% of locations — a trend lenders view favorably for revenue verification.

  Source: Laundromaps, 2026

Bottom line for 2026: Laundromat financing remains genuinely accessible — SBA programs support loan sizes up to $5 million with long terms, and equipment financing fills the gap for machine-specific needs at competitive rates and fast funding timelines. But rent and utility costs together can consume more than a third of revenue, and lenders continue to weigh equipment condition and operator experience heavily given the industry's modest, steady (rather than fast) growth profile.

Sources: Crestmont Capital, Laundry Business Loans: The Complete Financing Guide for Laundromat and Laundry Business Owners, 2026; Laundromaps, Laundromat Industry Statistics, 2026

PAGE 3

Critical Financing Metrics for Laundromats

Lenders in this space underwrite the operating business as closely as the real estate or equipment itself. The following metrics most often determine whether a request moves forward:

1. **Historical Revenue and Cash Flow**
   Trailing 2 to 3 years of business financials and year-to-date performance, since consistent revenue is central to both SBA and equipment financing decisions.
   $150,000–$300,000 avg annual revenue per store

2. **Equipment Age, Condition, and Remaining Useful Life**
   Documentation of washer and dryer age, condition, and maintenance history, given how central equipment is to revenue generation and near-term capital needs.
   15–20 year typical equipment lifespan

3. **Utility Cost Ratio**
   Water, gas, and electric costs as a share of revenue — one of the largest and most scrutinized expense lines in this business. **15%–25% of revenue**

4. **Rent or Occupancy Cost Ratio**
   For leasehold operations, rent as a share of revenue, and lease term remaining relative to the loan term. **20%–30% of revenue**

5. **Operator Experience**
   Documented experience in laundromats or related small-business/retail operations, since inexperienced operators face significantly more scrutiny.

6. **Profit Margin**
   Net profitability after rent, utilities, and operating expenses, which directly supports debt service capacity. **20%–35% of revenue**

7. **Loan Structure and Leverage**
   Financing available scales by program and asset type, with equipment financing offering the deepest leverage. **up to 100% (new equipment financing); SBA up to $5M with 10–25 yr terms**

These metrics form the practical filter that separates laundromat financing requests that get funded from those that stall in underwriting.

PAGE 4

Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Business financial statements and tax returns (typically 2 to 3 years) are organized
- [ ] Year-to-date revenue and operating performance is documented
- [ ] Equipment list with ages, condition, and maintenance history is prepared
- [ ] Utility cost and facility condition details are gathered
- [ ] Operator experience in laundromats or related businesses is clearly presented
- [ ] Lease information (if leasehold) or owner-user occupancy details are ready
- [ ] Location and demographic/traffic information is collected
- [ ] Existing debt schedule, entity documents, and personal financial statements are current

Common Reasons Laundromat Financing Requests Underperform or Get Declined

- Missing or incomplete revenue history
- Outdated equipment information or equipment nearing end of useful life
- Weak or unverifiable operator experience
- High utility or rent expense ratios relative to revenue
- Incomplete financial or organizational documentation

Final Perspective

Laundromat financing in 2026 remains one of the more genuinely accessible small business financing categories — SBA programs support loan sizes up to $5 million, and dedicated equipment financing fills gaps at competitive rates with fast funding timelines. But because rent and utility costs together can consume more than a third of revenue, and equipment condition drives both current performance and near-term capital needs, lenders weigh operating fundamentals as closely as the real estate itself.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing revenue history, outdated equipment documentation, and weak operator experience are among the most common reasons otherwise solid laundromat financing requests lose time, money, and momentum.

K2 Commercial Finance
Investor & Business Loans

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

Learn More About the K2 Lender-Ready System →

Seven-Day Ready or Refund Guarantee

K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com